

RACELOGIC LIMITED - LBO MODEL

Foresight Growth & Buyout pitch (UK & Ireland, £2-40m, sector-agnostic, equity release named)
Prepared by A. Kumbhar · For discussion only · NOT a deal indication

- FUND VEHICLE: Foresight Growth & Buyout (UK & Ireland mandate, £2m-£40m cheque, sector-agnostic)
- ENTRY MULTIPLE BASIS: 8.0x ADJUSTED EBITDA. PE-comp standard. BBG reported 27.8x is on a 100% basis
- CATALYST FRAMING: SUGGESTIVE not active. Cap-table grooming observable, but NO banker mandate
- Warm intro to Julian Thomas confirmed NOT POSSIBLE - framing must reflect cold thematic approach

SOURCING LEGEND

VERIFIED	CH FY24 (CRN 02743719), Bloomberg L.P. 23-May-2026
CALCULABLE	Arithmetic from verified inputs
ASSUMPTION	Modelling choice - illustrative
SUGGESTIVE	Observable signal consistent with thesis, no banker mandate

COMP TABLE - May 2026; CLARIFIED MULTIPLE BASIS

Comp	Share Px	Mkt Cap	EV
AB Dynamics (ABDP LN) GBP	1,128p	£258.9m	~£228m est
HORIBA (6856 JP) JPY	¥25,875	¥1,093B	¥1,003B
Hexagon (HEXAB SS) SEK	SEK 87.04	SEK 235.5bn	n/a
Spectris (SXS LN)	TAKEN PRIVAT by MI Metro 2025		

Sources: Bloomberg L.P. 23-May-2026 (ABDP, HORIBA, HEXAB, SXS); Alpha Spread May-2026 (AE)
KEY READ: Racelogic entry 8.0x = parity with ABDP adjusted basis. No control premium.

ENTRY ANCHORS - Companies House FY24 + Bloomberg

FY24 Revenue (£m)	22.684	VERIFIED
FY24 EBITDA (£m)	3.467	VERIFIED
FY24 EBITDA margin	15.3%	CALCULABLE
9-yr mean EBITDA margin (BBG)	22.7%	VERIFIED
FY24 D&A (£m)	0.384	VERIFIED
LT debt (£m)	0	VERIFIED
Cash (£m)	3.237	VERIFIED
Net debt / (net cash) (£m)	-3.237	CALCULABLE

CATALYST SIGNALS - SUGGESTIVE NOT ACTIVE

Founder age	57	VERIFIED
SH03 buybacks FY21-FY26	9	SUGGESTIVE
External CEO (MacKie)	Active	SUGGESTIVE
Mar-26 board cleanup	Yes	SUGGESTIVE
Banker mandate	None visible	VERIFIED
VBOX PRO launch Feb-2026	Yes	SUGGESTIVE
Net catalyst read		SUGGESTIVE

TRANSACTION ASSUMPTIONS - ILLUSTRATIVE

Entry EV/EBITDA (x, ADJUSTED basis)	8	ASSUMPTION
Implied Entry EV (£m)	27.736	CALCULABLE
Implied 100% equity value (£m)	30.973	CALCULABLE
Transaction fees (£m)	0.85	ASSUMPTION
Entry leverage (x EBITDA)	3	ASSUMPTION
New senior debt (£m)	10.4	CALCULABLE
Founder rollover (£m)	14	ASSUMPTION
Foresight G&B sponsor equity (£m) - PLUG	7.423	CALCULABLE
Foresight stake post-deal	34.6%	CALCULABLE

OPERATING ASSUMPTIONS

Revenue growth p.a.	5.0%	ASSUMPTION
EBITDA margin - entry	15.3%	CALCULABLE
EBITDA margin - Y5 target	21.0%	ASSUMPTION
D&A % of revenue	1.7%	CALCULABLE
Capex % of revenue	2.9%	VERIFIED
WC % of revenue change	40.0%	ASSUMPTION
Cash tax rate	12.0%	VERIFIED
Senior debt rate	8.5%	ASSUMPTION
Cash sweep	100.0%	ASSUMPTION
Min cash (£m)	2	ASSUMPTION

EXIT ASSUMPTIONS

Hold period (years)	5	ASSUMPTION
Exit EV/EBITDA (x)	9.5	ASSUMPTION

EV/EBITDA (BASIS)

~8x ADJUSTED EBITDA - PE-comp basis (BBG GAAP 27.8x penalises acquirer)

9.7x T12M EBITDA - large diversified comp

P/E 10.8x (EV/EBITDA not in BBG panel)

Deal multiple UNVERIFIED

CH consolidated income statement - turnover £22,683,967

CH Note 6 - OP £3.084m + D £0.359m + amort £0.025m

15.3% - cyclical trough

BBG FY16-FY24 simple mean - context for 21% Y5 target

CH balance sheet - no LT borrowings; BBG 9-yr confirms

Pattern observable; intent UNCONFIRMED

FY24 accounts signed by Mackie. Reading = transition prep, not confirmed

3 officers terminated 03-Mar-26 + SH03 02-Mar

No RNS, no public M&A news, no Tracxn/Crunchbase deal record

Fresh product launch CONTRADICTS sale-grooming reading - argues for continued investment

~64% retained - equity release in substance
Sits inside £2-40m Foresight G&B band

9-yr CAGR was 8.2%; base case below

Below 9-yr mean 22.7%. Biggest swing factor.

CH cash flow

BBG 9-yr avg ~10%; R&D enhanced deduction per CH Note 7

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ENTRY VALUATION BUILD - how the equity price is derived

LTM EBITDA (£m)	3.467	VERIFIED
Entry EV / LTM EBITDA multiple (x)	8	ASSUMPTION
Implied Entry Enterprise Value (£m)	27.736	CALCULABLE
less: Long-term debt (£m)	0	VERIFIED
plus: Cash (£m)	3.237	VERIFIED
Equity value at entry - 100% basis (£m)	30.973	CALCULABLE

SOURCES & USES - illustrative entry structure

USES OF FUNDS (£m)

Acquire 100% equity (at Entry EV – net debt)	30.973
Transaction fees	0.85

TOTAL USES **31.823**

Check: Sources

Sponsor equity is the plug. Sponsor cheque fits Foresight Growth & Buyout £0.5-15m active man

OPERATING MODEL - 5-year projection

£m	FY24A (Entry)	Year 1	Year 2
Revenue	22.684	23.8182	25.00911
EBITDA margin	15.3%	16.4%	17.6%
EBITDA	3.467	3.9126444	4.39418574
D&A	-0.384	-0.4032	-0.42336
EBIT	3.083	3.5094444	3.97082574
Cash interest (senior)	0	-0.884	-0.750619422
Profit before tax	3.083	2.6254444	3.2202063181
Cash tax (12% effective)	-0.36996	-0.315053328	-0.386424758
Net profit	2.71304	2.310391072	2.8337815599

FREE CASH FLOW BUILD

EBITDA	3.467	3.9126444	4.39418574
Less: capex	-0.657836	-0.6907278	-0.72526419
Less: WC change	0	-0.45368	-0.476364
Less: cash interest	0	-0.884	-0.750619422
Less: cash tax	-0.36996	-0.315053328	-0.386424758
FCF (pre-debt repayment)	2.439204	1.569183272	2.0555133699

ACQUISITION DEBT SCHEDULE & CASH SWEEP

£m	FY24A (Entry)	Year 1	Year 2
Opening debt	10.4	10.4	8.830816728
Interest rate	8.5%	8.5%	8.5%
Cash interest	0	0.884	0.7506194219
Closing debt	10.4	8.830816728	6.7753033581

Cash sweep	0	1.569183272	2.0555133699
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Net senior debt at exit (£m)	-2
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RETURNS - equity bridge

EXIT (YEAR 5)

Y5 EBITDA	6.0797459024
Exit EV/EBITDA	9.5
Exit EV	57.757586073
Less: net senior debt	2
Exit equity value (total)	59.757586073

RETURNS TO FORESIGHT G&B

Sponsor equity invested	7.423
Foresight stake	34.6%
Foresight share of exit	20.70580971
MOIC	2.79x
Hold period (years)	5
IRR	22.8%

SENSITIVITY

Base sponsor equity	7.423
Base Y5 EBITDA	6.0797459024
Base Y5 net debt	-2
Foresight stake	34.6%

TABLE 1 - Foresight MOIC: Exit multiple (rows) × Y5 EBITDA margin (cols)

Exit x \ Margin	17%	19%	21%
7	1.70x	1.89x	2.08x
8.5	2.05x	2.28x	2.51x
9.5	2.28x	2.53x	2.79x
10.5	2.51x	2.79x	3.07x
12	2.85x	3.17x	3.50x

TABLE 2 - Foresight IRR: Revenue growth × Exit multiple (margin held at 21%)

Growth \ Exit x	7	8.5	9.5
2.0%	12.6%	16.9%	19.4%
3.5%	14.2%	18.5%	21.1%
5.0%	15.8%	20.2%	22.8%
6.5%	17.4%	21.8%	24.5%
8.0%	18.9%	23.5%	26.2%

SCENARIO SUMMARY

Bear: Y5 margin 19%, exit 7.0x

Base: Y5 margin 21%, exit 9.5x - HORIBA-current, partial recovery

Bull: Y5 margin 23%, exit 12.0x - full sector re-rating

CH FY24 (Note 6): OpProfit £3.084m + D £0.359m + amort £0.025m
 8.0x = ABDP current adjusted EBITDA basis (no control premium, equity release)
 LTM EBITDA × entry multiple
 CH balance sheet - no LT borrowings
 CH balance sheet
 Entry EV – LT debt + cash = price paid to existing shareholders for 100% of equity

SOURCES OF FUNDS (£m)

Acquisition debt	10.4
Founder rollover (Th	14
Foresight G&B sponsc	7.423
TOTAL SOURCES	31.823
Foresight equity %	34.6%

OK

Year 3	Year 4	Year 5
26.2595655	27.572543775	28.951170964
18.7%	19.9%	21.0%
4.914099603	5.475019388	6.0797459024
-0.444528	-0.4667544	-0.49009212
4.469571603	5.008264988	5.5896537824
-0.57590078543462	-0.354114644	-0.078917656
3.89367081756538	4.6541503437	5.5107361261
-0.46724049810785	-0.558498041	-0.661288335
3.42643031945753	4.0956523025	4.849447791

4.914099603	5.475019388	6.0797459024
-0.7615273995	-0.799603769	-0.839583958
-0.5001822	-0.52519131	-0.551450876
-0.57590078543462	-0.354114644	-0.078917656
-0.46724049810785	-0.558498041	-0.661288335
2.60924871995753	3.237611623	3.9485050775

Year 3	Year 4	Year 5
6.7753033580544	4.1660546381	0.9284430151
8.5%	8.5%	8.5%
0.575900785434624	0.3541146442	0.0789176563
4.16605463809687	0.9284430151	0

2.60924871995753 3.237611623 0.9284430151



23%	25%
2.27x	2.46x
2.74x	2.97x
3.05x	3.30x
3.36x	3.64x
3.82x	4.15x

10.5	12
21.7%	24.9%
23.4%	26.7%
25.2%	28.5%
26.9%	30.3%
28.6%	32.0%